MBA Thesis

Business Model Innovation in Automotive Online Retail: A Comparative Study of Swedish Automotive Companies

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The authors declare that they have completed the thesis work independently. All external sources are cited and listed under the References section. The thesis work has not been submitted in the same or similar form to any other institution as part of another examination or degree.

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Abstract

Background: The rapid expansion of online retail in the automotive sector requires firms to fundamentally reconsider how they create, deliver, and capture value. Despite growing academic interest in digital transformation, limited research examines how Swedish automotive companies specifically adapt their business models to enable online retail operations.

Purpose: This study investigates how Swedish automotive companies adapt their business models to enable online retail, with a focus on three core business model innovation (BMI) components: value proposition, distribution channels, and revenue mechanisms.

Method: A qualitative multiple-case study design was employed, examining four Swedish automotive and mobility firms — CAKE, Einride, Lynk&Co, and Polestar. Data were collected exclusively from publicly available secondary sources, including company websites, press releases, annual reports, executive interviews available online, and industry publications, and analysed using thematic coding following Miles et al. (1994).

Results and Analysis: The findings demonstrate that online retail adoption triggers simultaneous reconfiguration of all three BMI components across all four cases. Full dealership disintermediation consistently appeared commercially unsustainable in consumer automotive markets based on publicly documented evidence — companies that pursued aggressive direct-to-consumer models subsequently reintroduced physical retail intermediaries. Hybrid distribution models combining digital transaction channels with physical brand presence appear to be associated with more stable documented trajectories. Incremental BMI adaptation appears to be associated with fewer documented strategic reversals than architectural reconfiguration within the timeframe studied. Einride represents a contextual exception, demonstrating that architectural reconfiguration is viable in B2B freight contexts where consumer trust barriers do not apply.

Conclusions: Online retail adaptation in the Swedish automotive context is not a technological challenge but an organisational one. The firms showing more stable documented trajectories are those that balance digital transaction efficiency with physical trust-building rather than pursuing full disintermediation. This study provides case-based evidence consistent with the view that hybrid distribution tends to be associated with more stable configurations in consumer automotive online retail and contextualises the viability of incremental versus architectural BMI within purchasing context rather than strategic intent alone.

Recommendations for Future Research: Future research should examine how traditional automotive incumbents such as Volvo Cars adapt their business models for online retail. Longitudinal studies tracking the same companies over time would assess whether hybrid configurations represent a stable endpoint or a transitional phase. Primary interview-based research would further strengthen findings by capturing internal strategic reasoning that secondary data cannot reveal.

Keywords: Business model innovation, online retail, automotive industry, direct-to-consumer

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List of abbreviations

Abbreviation	Full Term
BMI	Business Model Innovation
DTC	Direct-to-Consumer
FCaaS	Freight Capacity as a Service
SaaS	Software as a Service
RQ	Research Question
DESI	Digital Economy and Society Index
B2B	Business-to-Business
B2C	Business-to-Consumer
EV	Electric Vehicle
4Ps	Product, Price, Place, Promotion

1. Introduction

The automotive industry is experiencing a profound shift as digitalisation reshapes how vehicles are marketed, sold, and accessed (Fichman et al., 2014). While early discussions on digital transformation emphasised broad organisational changes, a more focused development has emerged in recent years: the rapid expansion of online retail as a core strategic channel for automotive companies. Instead of relying solely on physical dealerships, manufacturers increasingly use digital platforms to allow customers to explore, configure, and purchase vehicles remotely (Llopis-Albert et al., 2021). This shift demands more than a new sales channel; it requires firms to reconfigure how they create, deliver, and capture value, as reflected in their publicly documented business model arrangements. In other words, it involves business model innovation (Teece, 2010; Foss & Saebi, 2018).

This shift is particularly significant in Sweden, a country characterised by advanced digital infrastructure, strong sustainability ambitions, and consumers who are early adopters of new mobility solutions (European Commission, 2023; Acciarini et al., 2022). According to the EU Digital Economy and Society Index, Sweden consistently ranks among the top two most digitally mature countries in Europe, with exceptionally high levels of enterprise digital adoption and broadband connectivity (European Commission, 2023). Swedish automotive firms such as CAKE, Einride, Lynk&Co, and Polestar have become prominent examples of organisations experimenting with direct-to-consumer (DTC) sales, subscription models, virtual showrooms, and digitally mediated pre- and post-purchase services. These developments illustrate how online retail is no longer an add-on but a key strategic arena in which automotive firms differentiate their market positioning.

Despite the increasing strategic importance of online retail, current academic literature offers limited insight into how automotive companies structure the business models that enable online retail in practice. Studies such as Agrawal et al. (2003), Gordijn (2004), and Kley et al. (2011) primarily examine early e-commerce infrastructure or electric vehicle business models in non-European markets. More recent scholarship has begun to address digital customer journeys and online purchasing behaviour (Lemon & Verhoef, 2016; Kim et al., 2022), and business model transformation in the automotive sector (Vaska et al., 2021; Pérez-Moure et al., 2024). However, comparatively little research examines how Swedish automotive firms configure their business models to support online retail activities, or how these configurations are reflected in publicly documented digital sales structures, subscription arrangements, and platform-based service offerings.

This gap is significant because online retail in the automotive sector involves far more than offering a web shop. It includes digital customer experience (e.g., configuration tools, test-drive booking), online sales processes (e.g., DTC purchasing journeys), flexible access models (e.g., subscriptions), and digitally supported after-sales services (Lemon & Verhoef, 2016; Kim et al., 2022). Each of these elements is reflected in publicly documented business model arrangements concerning value creation, value delivery, and revenue generation, areas that remain under-explored in the Swedish context.

Understanding how Swedish firms structure these elements is therefore relevant for both researchers and practitioners. From a theoretical perspective, this study contributes to the empirical understanding of how business model innovation is manifested in online retail among Swedish automotive companies, by examining how value propositions, distribution channels, and revenue mechanisms are configured in publicly documented online retail practices. From a practical perspective, the findings offer insights for companies seeking to strengthen their online retail strategies in a market shaped by high digital maturity and sustainability-driven consumer behaviour.

The companies examined in this study, CAKE, Einride, Lynk&Co, and Polestar, offer particularly relevant cases because they each operate with distinct product categories, strategic priorities, and digital maturity levels, yet all position online retail as a central component of their market approach. Their diversity enables meaningful comparison of how specific business model components (namely value proposition, distribution channels, and revenue mechanisms) are configured across different organisational and strategic contexts. This variation provides a basis for understanding how business model configurations for online retail manifest in practice within Sweden's evolving automotive landscape. Comparing these different configurations makes it possible to identify both common patterns and distinctive approaches to enabling online retail, thereby providing a richer understanding of business model innovation than would be possible through a single-case study.

By examining how these firms have structured their business models to enable online retail, this study seeks to identify patterns of business model innovation reflected in their value propositions, distribution channels, and revenue mechanisms, thereby improving understanding of how Swedish automotive companies organise value creation, delivery, and capture in an increasingly digital market environment.

2. Purpose and research question(s)

2.1. Purpose

The purpose of this study is to examine how selected Swedish automotive companies; CAKE, Einride, Lynk&Co, and Polestar structure their business models to enable online retail, as reflected in their publicly documented digital retail practices, platform configurations, and documented strategic communications. Specifically, the study investigates how three core business model components; value proposition, distribution channels, and revenue mechanisms are configured in the context of online retail operations, and how these configurations differ across companies operating within Sweden's automotive and mobility sector. Using a qualitative multiple-case study approach and publicly available secondary data, the research aims to identify similarities and differences in how value creation, delivery, and revenue mechanisms are reflected in the companies' online retail models and digital customer interfaces.

2.2. Research Question

How have Swedish automotive companies adapted their business model configurations to enable online retail?

Supporting sub-question:
How do the observable configurations of value proposition, distribution channels, and revenue mechanisms differ across CAKE, Einride, Lynk&Co, and Polestar in the context of online retail?

3. Previous research

This chapter reviews prior research relevant to online retail and business model innovation in the automotive sector. The objective is not to provide a general overview of e-commerce or digital transformation, but to establish a theoretical foundation for analyzing how business model configurations are reflected in the online retail practices of automotive firms. The review draws primarily from peer-reviewed academic journals, focusing on business model innovation, online retail adoption, and automotive market transformation. Where the Swedish context is insufficiently covered in existing literature, the European context is used as the closest available proxy.

The review emphasises studies that explain organisational and strategic changes associated with online retail adoption, while excluding research focused solely on technological implementation without connection to business model change. The chapter builds toward an identified research gap that directly motivates the research question.

3.1. Business Model Innovation and Online Retail

A business model describes how a firm creates, delivers, and captures value (Teece, 2010). Within traditional automotive retail, this process has historically been structured through a multi-layered distribution system in which manufacturers sell vehicles to importers or dealers, and dealers sell to end customers. Revenue generation, customer interaction, and service provision have therefore been organised primarily around physical dealerships.

Online retail challenges this established structure. When vehicles are offered through digital platforms, firms must assume responsibilities previously handled by dealers, including customer interaction, order management, pricing transparency, and in some cases delivery and aftersales coordination. Early research identified that such shifts involve modifications to value proposition, distribution channels, and revenue mechanisms (Agrawal et al., 2003; Gordijn, 2004; Kley et al., 2011). However, these foundational studies were largely conceptual and focused on early-stage e-commerce or electric vehicle models, and they did not examine how firms configure or reconfigure their business models in practice.

More recent scholarship has shifted the focus toward deliberate business model reconfiguration as a strategic response to digitalisation. Foss and Saebi (2018) argue that business model innovation involves not merely technological adoption but the restructuring of organisational arrangements through which value is created and captured. Similarly, Teece (2010) emphasises that competitive advantage in digital markets depends on how firms redesign the architecture of their business models, not simply their product offerings. Vaska et al. (2021), in a structured review of the BMI and digital transformation literature, further demonstrate that industries including automotive are increasingly adopting new business model configurations, such as platform-based services and access models; that fundamentally alter how value flows between firm and customer.

Taken together, this body of research shows a clear evolution: from early descriptive accounts of e-commerce infrastructure (Agrawal et al., 2003; Gordijn, 2004) toward more recent analytical frameworks that treat business model innovation as a deliberate organisational response to digital market conditions (Teece, 2010; Foss & Saebi, 2018; Vaska et al., 2021). Online retail is therefore understood not as a technological add-on but as a trigger for structural reconfiguration of how automotive firms operate.

Bohnsack et al. (2014) demonstrate that business model evolution in the electric vehicle sector involves iterative reconfiguration of value delivery and revenue mechanisms, a pattern consistent with the adaptation observed in this study. Tongur and Engwall (2014) identify the business model dilemma created by technology shifts, firms must reconfigure existing arrangements while managing the risk of

disrupting established value capture mechanisms. Wells et al. (2020) examine how service-based mobility models challenge incumbent automotive manufacturers, illustrating how the shift from product ownership to service access requires fundamental business model reconfiguration.

3.2. Online Retail in the Automotive Industry

The automotive industry has undergone a gradual transition toward online retail, expanding from the sale of accessories and after-sales services to the full purchase of vehicles. Digital sales models now allow customers to configure vehicles, arrange financing, and organise delivery through online platforms, frequently within direct-to-consumer arrangements (Llopis-Albert et al., 2021; Kim et al., 2022).

However, automotive online retail differs fundamentally from conventional e-commerce due to the complexity and high involvement of the product. Lemon and Verhoef (2016) demonstrate that high-involvement purchases involve extended, multi-touchpoint customer journeys in which trust, information, and service integration are critical at every stage. In the automotive context, this means that purchasing a vehicle online typically includes configuration choices, financing arrangements, trade-ins, regulatory requirements, and coordinated delivery; all of which must be integrated into a single seamless process (Kim et al., 2022). Online purchasing may further include booking test drives, remote consultations, home delivery, or subscription-based access to vehicles.

Sjödin et al. (2020) show that successful business model innovation requires alignment between value creation and value capture mechanisms — a tension particularly visible in automotive online retail where pricing, delivery, and service models must be simultaneously configured to support a seamless digital purchasing experience.

Scholars differ, however, to the extent to which online retail fundamentally restructures or merely complements the traditional dealership model. Llopis-Albert et al. (2021) find that digital transformation in automotive firms has accelerated the adoption of DTC platforms, suggesting a structural break from incumbent distribution. Kim et al. (2022), by contrast, show that most consumers still prefer hybrid models combining online research with physical touchpoints; indicating that pure online retail has not yet replaced dealerships but is reshaping their role. This tension between disintermediate and hybrid integration is a recurring unresolved issue in the literature, and it is particularly relevant for understanding how firms choose to configure their distribution channels and value propositions.

Although companies such as Tesla, Carvana, and NIO demonstrate the viability of direct online automotive sales, much existing research focuses on the United States and China (Agrawal et al., 2003; Gordijn, 2004; Kley et al., 2011). Comparatively limited research addresses the Nordic or Swedish context, despite meaningful differences in consumer expectations, sustainability priorities, and market organisation. Existing studies acknowledge online sales but rarely analyse how firms redesign their underlying business models to make online retail operationally viable

3.3. Implications, Benefits, and Challenges of Automotive Online Retail

Online retail offers clear benefits, including increased purchasing convenience, pricing transparency, and potential operational efficiency (Llopis-Albert et al., 2021; Vakulenko et al., 2019). Customers may compare configurations, view pricing directly, and complete transactions without visiting a dealership. For firms, online platforms may centralise customer data, reduce transaction costs, and streamline the sales process.

However, the literature also highlights significant trade-offs and unresolved tensions. Vakulenko et al. (2019) demonstrate that last-mile delivery quality is a critical mediator of customer satisfaction in online

retail; indicating that operational logistics, not just digital interface design, determine whether the online model succeeds. Ahmad et al. (2022) find that online customer experience drives loyalty through engagement, suggesting that firms cannot simply digitise existing processes but must actively design digital interactions that build ongoing customer relationships.

Further tension exists around pricing. Fixed pricing structures associated with DTC platforms offer transparency and consistency but remove the negotiation flexibility that traditional dealerships use to close sales and manage margins (Kley et al., 2011; Kim et al., 2022). This trade-off between transparency and flexibility represents an unresolved issue in literature, as different markets and customer segments respond differently to fixed versus negotiated pricing models.

Trust also remains a structural challenge. Customers purchasing high-involvement products such as vehicles without physical inspection must rely on digital representations of quality, a barrier that is harder to overcome than in standard e-commerce (Lemon & Verhoef, 2016). These issues cannot be resolved through technology alone because they involve how the firm organises its activities, manages customer relationships, and structures its value proposition. Consequently, automotive online retail adoption is fundamentally a business model challenge, not merely a technological one.

Visnjic et al. (2014) find that firms combining product and service innovation in their business models face higher execution complexity — consistent with the challenges observed in subscription-based automotive retail models such as Lynk&Co. Soto-Acosta (2020) further demonstrates that external disruptions accelerate digital transformation adoption, a context relevant to the rapid expansion of automotive online retail observed in the post-2020 period.

3.4. Identified Research Gap

The studies reviewed above reveal a clear pattern: foundational research (Agrawal et al., 2003; Gordijn, 2004; Kley et al., 2011) primarily addresses early e-commerce infrastructure or electric vehicle business models in North American and Asian markets. More recent contributions (Llopis-Albert et al., 2021; Foss & Saebi, 2018; Vaska et al., 2021) advance theoretical understanding of business model innovation in digital contexts but focus predominantly on large incumbent manufacturers or broad cross-industry reviews rather than on specific organisational configurations in smaller or emerging automotive markets.

As a result, existing literature provides limited empirical insight into how firms configure or reconfigure their business model components, value proposition, distribution channels, and revenue mechanisms, when shifting from dealership-based to online retail. This gap is especially pronounced in the Swedish context, where firms such as CAKE, Einride, Lynk&Co, and Polestar combine technological innovation with sustainability-oriented strategies but remain largely absent from existing academic research.

Nambisan (2017) argues that digital technology fundamentally alters how firms create and capture value — reinforcing the need for empirical studies of digital business model adaptation in specific industry contexts such as automotive retail, rather than relying solely on cross-industry generalisations.

This study addresses the gap by analysing how selected Swedish automotive companies adapt their business models to enable online retail operations. Rather than examining whether firms sell online, the study investigates how the configuration of value proposition, distribution channels, and revenue mechanisms is reflected in the publicly documented online retail practices of Swedish automotive firms.

3.5. Conceptual Framework

This study adopts a conceptual framework that positions online retail as the empirical context and business model innovation as the primary analytical lens. Rather than examining why firms digitalise, the study investigates how business model configurations are reflected in the online retail practices of Swedish automotive companies.

In this framework, online retail refers to the digital configuration, ordering, purchasing, and delivery of vehicles and related services. The presence of online retail is not treated as an outcome of the study, but as the operational setting within which firms must structure their activities.

Business model innovation constitutes the central focus of analysis. Following established research on business model adaptation in digital environments (Teece, 2010; Foss & Saebi, 2018; Zott & Amit, 2010; Vaska et al., 2021), the study examines how companies reconfigure three key components:

Value proposition: what is offered to customers in online vehicle sales

Distribution channels: how vehicles and services are delivered without traditional dealerships

Revenue mechanisms: how firms generate income through purchase, subscription, or service-based models

Through this perspective, online retail is understood not merely as a digital sales channel but as an organisational context in which observable business model configurations can be identified and compared. This is consistent with Pérez-Moure et al. (2024), who demonstrate that mobility firms facing digital market pressures must reconfigure all three components simultaneously rather than adapting them in isolation.

Digital transformation is included in the framework only as an enabling condition. Digital technologies make online retail possible but are not themselves the object of analysis. The study therefore does not examine technological adoption as such, but how firms organise their business models once online retail is implemented.

Customer experience is not treated as a primary research variable. Instead, it represents a potential implication of business model design. Changes in value propositions, distribution structures, and revenue models may influence customer interactions, but the thesis analyses these organisational arrangements rather than measuring customer perceptions.

By structuring the framework in this way, the conceptual model aligns directly with the research question. The study investigates how business model adaptations are reflected in the online retail practices of Swedish automotive companies, rather than treating digital transformation or customer experience as independent research areas.

4. Theory

4.1. Introduction

This study adopts business model innovation (BMI) as its primary theoretical lens. A business model describes how a firm creates, delivers, and captures value (Teece, 2010). In this research, business model innovation refers not to creating entirely new organisations, but to changes in the configuration of existing business model components (value proposition, distribution channels, and revenue mechanisms) that are reflected in how firms structure their online retail operations.

The automotive industry has traditionally relied on dealership-based sales involving physical showrooms and intermediaries. Online retail relocates purchasing, interaction, and service processes into digital environments, producing documented changes in how value is offered, how transactions are structured, and how revenue is organised. This study therefore examines online retail as a context in which business model configurations can be identified and compared, anchored in three core components: value proposition, distribution channels, and revenue mechanisms (Teece, 2010; Foss & Saebi, 2018).

4.2. Foundational Business Model Innovation Frameworks

To examine how Swedish automotive companies structure their business models to enable online retail, this study is grounded in two complementary BMI frameworks: the activity-system perspective (Zott & Amit, 2010) and the business model component perspective (Teece, 2010; Foss & Saebi, 2018). Together, they provide a structured way to identify and compare business model configurations documented in automotive online retail, the activity-system perspective explaining what types of activity shifts are theoretically associated with online retail adoption, and the component perspective specifying which elements of the business model are examined empirically.

4.2.1. Activity System Perspective

The activity-system perspective, developed by Zott and Amit (2010), conceptualises a business model as a system of interdependent activities carried out by the firm and its partners. This perspective is particularly relevant for this study because it highlights how online retail is theoretically associated with a shift in activity responsibilities, from dealership networks toward manufacturer-controlled digital platforms.

In the traditional automotive industry, activities such as vehicle configuration, customer consultation, transaction processing, delivery coordination, and post-purchase support are distributed across a network of manufacturers, dealers, and service providers. Online retail is theoretically associated with a reconfiguration of this activity system, with manufacturers assuming activities previously delegated to dealers. While this study cannot directly observe internal activity restructuring processes through secondary data alone, it can identify publicly documented evidence of such shifts, for example, the presence or absence of dealerships in the distribution structure, the existence of direct delivery arrangements, and the organisation of digital customer interfaces. These documented features serve as proxies for the activity-system configurations described by Zott and Amit (2010) and are directly relevant to the research question of how Swedish automotive companies structure their business models to enable online retail.

4.2.2. Business Model Component Perspective

The business model component perspective focuses on the elements through which a firm creates, delivers, and captures value (Teece, 2010; Foss & Saebi, 2018). This perspective operationalises the research question by providing three concrete dimensions that can be identified and compared across the case companies through publicly available secondary data:

Value proposition: The value proposition is reflected in how the firm presents and structures its offering digitally: what products or services are available online, whether ownership or subscription access is offered, and how the digital purchasing experience is organised.

Distribution channels: Distribution channels are identified through the documented presence or absence of dealerships, the structure of direct-to-consumer platforms, and the publicly described delivery and customer interaction arrangements.

Revenue mechanisms: Revenue mechanisms are identified through publicly available pricing structures, payment models, subscription arrangements, and revenue diversification strategies documented in company communications and financial reports.

Analysing these three components allows the study to compare how firms configure their business model elements for online retail **based on publicly documented information**, which is what the research question asks.

4.2.3. Relevance for the Study

The two perspectives are complementary. The activity-system perspective provides the theoretical rationale for why online retail is associated with business model change, while the component perspective specifies which business model elements are examined empirically. Together they provide the analytical foundation for comparing how CAKE, Einride, Lynk & Co, and Polestar have structured their business models to enable online retail in the Swedish automotive context, based on publicly available evidence rather than internal organisational access.

4.3. Business Model Innovation in Automotive Online Retail

Business model innovation refers to changes in how firms organise value creation and value capture (Teece, 2010; Foss & Saebi, 2018). Teece (2010) conceptualises business models as systems of interconnected activities that define how firms deliver value to customers and generate profit. Foss and Saebi (2018) distinguish between incremental and more architectural forms of BMI, noting that digital market pressures are associated with reconfiguration of existing organisational arrangements rather than simple extension of existing models. More recently, Pérez-Moure et al. (2024) find that automotive firms facing digital disruption tend to adapt value proposition, distribution, and revenue components in combination: piecemeal adaptation of individual components appears insufficient when the entire sales architecture is in transition.

In the automotive context, the publicly documented shift toward online retail is associated with changes across all three BMI components. This study examines those changes as they are reflected in documented company practices, not as internal strategic decisions, but as configurations identified through company communications, platform structures, distribution arrangements, and publicly disclosed revenue models.

Value Proposition: In online automotive retail, the value proposition is reflected in what the firm offers digitally: whether customers can purchase outright, subscribe, or access vehicles as a service. Prior research highlights models such as direct-to-consumer sales, subscription arrangements, and Mobility-

as-a-Service solutions (Liu, 2022; Wells et al., 2020). These arrangements are documented in company websites, press releases, and product documentation.

Distribution Channels: Distribution channel configuration is identified through whether dealerships are present or absent, how vehicles are delivered, and how customer interaction is structured digitally. The presence of DTC platforms, the role of physical spaces, and the involvement of logistics partners are all documented in publicly available sources.

Revenue Mechanisms: Revenue configurations are reflected in pricing structures, payment models, and subscription arrangements documented in company communications and financial disclosures. These include fixed pricing, online financing partnerships, and recurring service contracts.

Taken together, these three dimensions provide the empirical anchors through which publicly available secondary data are systematically analysed, directly addressing the research question.

4.4. Marketing Mix as an Analytical Framework

Business model components such as value proposition, distribution channels, and revenue mechanisms are theoretical constructs; they cannot be directly observed in company documents or websites without a structured analytical bridge. A set of empirical indicators is therefore required to translate abstract BMI components into identifiable practices visible in secondary sources.

This study uses Marketing Mix (4Ps) as that operationalisation bridge. The 4Ps framework is selected over alternatives (such as the Business Model Canvas (Osterwalder & Pigneur, 2010) or the RCOV framework) because it provides a compact set of empirically identifiable dimensions that map directly onto the three BMI components under investigation. Unlike the nine-block Business Model Canvas, which captures a broader set of organisational elements, the 4Ps isolate the three dimensions most relevant to online retail; what is offered (Product), how it is priced (Price), and how it is delivered (Place); without introducing analytical dimensions outside the research question. The 4Ps are therefore used not as a marketing theory but as a methodological tool for identifying empirical evidence of BMI component configurations in secondary source material (Kim et al., 2022).

The mapping is as follows:

Product → Value Proposition. The product dimension captures how the firm structures and presents its offering in publicly available sources, including digital vehicle configuration tools, transparent specifications, online purchasing interfaces, and subscription offerings documented on company websites and in press materials (Allen et al., 2001; Kim et al., 2022).

Price → Revenue Mechanism (Value Capture). Pricing captures how the firm organises value capture, as reflected in fixed pricing structures, digital payment arrangements, subscription fees, and financing partnerships disclosed in company communications (Ghosh, 1998; Kim et al., 2022).

Place → Distribution Channels (Value Delivery). Place captures how value delivery is structured, as indicated by the presence or absence of dealerships, the organisation of DTC platforms, and delivery arrangements documented in publicly available sources (Klein et al., 1996; Allen et al., 2001).

Promotion → Supporting Component. Promotion is considered only where it directly communicates the business model, for example, publicly documented explanations of subscription logic. It is not analysed as a standalone marketing activity.

The 4Ps thus act as empirical indicators that make business model configurations identifiable in secondary source material, ensuring the analysis remains systematic and directly tied to the three BMI components under investigation.

4.5. Linking Framework to the Research Question

Research Question: How have Swedish automotive companies adapted their business model configurations to enable online retail?

The analytical framework operates on two interconnected levels.

Conceptual level: BMI theory (Teece, 2010; Foss & Saebi, 2018) defines the object of study (changes in value proposition, distribution channels, and revenue mechanisms associated with online retail adoption).

Empirical level: The Marketing Mix (4Ps) provides structured indicators through which these components are identified in publicly available secondary sources (company websites, annual reports, press releases, and industry publications).

The operationalisation is as follows:

Business model component	Empirical indicator (4Ps)	Analytical meaning
Value proposition	Product	What the customer receives and how the offering is structured digitally
Revenue mechanism	Price	How the firm captures value from online retail
Distribution channels	Place	How vehicles are ordered and delivered without dealerships

Through this structure, documented company practices (such as platform-based ordering, fixed pricing, subscription access, or direct delivery) are interpreted as reflections of underlying business model configurations, directly addressing the research question.

5. Case Companies and Their Online Retail Strategies

This chapter documents how each of the four case companies; CAKE, Einride, Lynk&Co, and Polestar, organises online retail in practice. Data were collected exclusively from publicly available secondary sources including company websites, official press releases, annual reports, executive interviews published in industry and business media, and investor relations documents. All sources are cited throughout the chapter

Each company is presented through three dimensions directly corresponding to the BMI framework: value proposition, distribution channels, and revenue mechanisms. The chapter closes with a cross-case summary that forms the empirical basis for the analysis chapter.

5.1. CAKE

CAKE is a Swedish manufacturer of electric motorcycles and light electric vehicles. The following description is based on CAKE´s company website, press materials and supplemented by publicly available sources.

Value proposition — Customers configure, review, and purchase vehicles entirely through the company website. All product information is presented digitally, removing the need for in-store consultation.

Distribution channels — CAKE operates a fully direct-to-consumer model. Vehicles are ordered online and delivered directly to the buyer. Physical locations do not function as dealerships — the website is the primary sales interface, and post-purchase support is managed digitally.

Revenue mechanisms — Revenue is generated through direct online product sales. Additional services such as upgrades and maintenance support are also handled digitally, without dealer involvement.

Observed implications for business model structure — CAKE eliminates the intermediary across all three BMI dimensions. The online platform becomes the single point for value communication, transaction, and post-purchase contact.

5.2. Einride

Einride operates in electric and autonomous freight transportation, serving business clients rather than individual consumers. Unlike the other three cases, Einride does not sell vehicles but provides transportation as a service; making it analytically significant as the most complete example of disintermediation in this study, where all value creation, delivery, and capture occur through digital platforms with no physical sales presence. The following description is based on Einride´s company website, publicly available CEO interviews, press releases and supplemented by publicly available sources.

Value proposition — Business clients contract transportation capacity and logistics services through a digital interface. The offering is access to a transportation outcome, not vehicle ownership, a fundamental shift in what value the firm delivers.

Distribution channels — All operations are coordinated through a digital platform. There are no physical dealerships or sales representatives; customer interaction occurs entirely remotely through digital communication and service interfaces.

Revenue mechanisms — Revenue is generated through service agreements and logistics contracts rather than one-time product sales. Customers pay for ongoing transportation capacity rather than vehicle ownership.

Observed implications for business model structure — Einride reconfigures all three BMI components simultaneously and completely. Its inclusion in this study provides the strongest case of online retail as the sole mode of operation, offering a useful point of contrast with the other three companies.

5.3. Lynk&Co

Lynk&Co is a mobility-focused automotive company combining online vehicle purchasing with subscription-based access. The following description is based on Lynk&Co´s company website, membership documentation and supplemented by publicly available sources.

Value proposition — Customers can purchase or subscribe to vehicle access through the online platform. The offering combines traditional ownership with a recurring membership model, presenting two distinct value options within the same digital interface.

Distribution channels — Lynk&Co operates primarily online, supported by a small number of physical locations that serve as experience spaces rather than dealerships. The transaction occurs online; physical spaces support brand engagement only.

Revenue mechanisms — Revenue operates on two tracks: one-time vehicle purchase and recurring subscription fees. Both are managed digitally through the customer account, extending the revenue relationship beyond the initial transaction.

Observed implications for business model structure — Lynk&Co adapts all three BMI components while retaining a limited physical presence. Its dual revenue model, combining transaction and subscription — is the most distinctive revenue configuration among the four cases.

5.4. Polestar

Polestar is a Swedish electric vehicle manufacturer that conducts its sales process primarily online, with physical locations used for display only. The following description is based on Polestar´s company website, annual reports, press materials and supplemented by publicly available sources.

Value propositions: Customers configure, finance, and purchase vehicles entirely online. The digital platform provides all information required to complete the purchase without visiting a physical location.

Distribution channels — Vehicles are ordered online and delivered through coordinated logistics. Physical Polestar Spaces function as showrooms, not dealerships, separating the experiential function from the transactional function, with the transaction occurring exclusively online.

Revenue mechanisms — Revenue is captured directly through online vehicle sales, eliminating dealer margin. Financing and post-purchase services are also organised digitally.

Observed implications for business model structure — Polestar's model is characterised by the clear separation of display and transaction. Of the four cases, it most closely resembles a traditional automotive firm in physical presence yet reconfigures the distribution channel so that physical spaces support rather than execute the sale.

5.5. Chapter Summary

Across the four cases, online retail functions as the central interaction point between company and customer. All companies rely on digital platforms for product exploration, ordering, and post-purchase contact. However, they organise these activities differently.

CAKE and Polestar primarily use direct online sales of vehicles, Lynk&Co combines sales with subscription-based access, and Einride provides transport services through contractual agreements rather than ownership transfer. The companies therefore differ in how value is offered, how transactions occur, and how revenue is generated.

The chapter demonstrates that online retail in the Swedish automotive context does not represent a single sales model but a set of alternative approaches to organising transactions and customer relationships. The descriptions presented here provide the empirical basis for the following analysis chapter, which examines how these practices relate to business model adaptation.

6. Method

6.1. Research Approach

This study adopts a qualitative, exploratory research approach. A qualitative design is appropriate because the research question seeks to examine how Swedish automotive companies have adapted their business model configurations to enable online retail rather than to test predefined hypotheses or measure causal relationships (Creswell, 2014; Hammarberg et al., 2016). Business model innovation is context-dependent and embedded in organisational processes (Teece, 2010; Foss & Saebi, 2018), requiring in-depth exploration of managerial reasoning and organisational practices that quantitative measures cannot adequately capture.

6.2. Research Strategy

A multiple-case study strategy was employed. Case study research is appropriate for investigating contemporary phenomena within real-life contexts, particularly when the boundaries between phenomenon and context are not clearly defined (Yin, 2019). Examining four companies within the same industry but with differing online retail configurations enables cross-case comparison of business model adaptations and supports analytical generalisation (Foss & Saebi, 2018).

6.3. Data Collection

Data collection was initially planned through semi-structured cs with employees involved in digital retail, business development, or strategic management at each of the four case companies. Interview requests were submitted to representatives of CAKE, Einride, Lynk&Co, and Polestar. However, none of the companies responded within the timeframe of this study, and interviews could therefore not be conducted.

As a result, this study relies entirely on publicly available secondary data for all four case companies. Secondary sources consulted include company websites, official press releases, annual reports, executive interviews published in industry and business media, investor relations documents, and independently published industry analyses.

Source selection criteria: Sources were selected based on the following criteria: publicly accessible without subscription or login; directly related to the company's online retail strategy, business model structure, or distribution and pricing arrangements; and published within the period 2018–2026 to ensure contemporary relevance. No predetermined limit was placed on the number of sources per company, all sources meeting the inclusion criteria and relevant to the three BMI components were included. Where sources provided conflicting information, both versions were noted and the discrepancy acknowledged in the analysis. The table in Appendix C displays information for each source analysed for data collection.

Systematic selection procedure: To ensure consistency across cases, the same source categories were reviewed for each company in the same sequential order: company website first, then official press releases and newsroom publications, then annual reports and investor relations documents, then executive interviews in industry and business media, and finally third-party industry analyses and independent reports. This sequential review structure ensured that no source type was systematically prioritized for one company over another, and that the same analytical categories were applied uniformly across all four cases.

This approach is consistent with the multiple-source evidence strategy recommended for case study research, which explicitly recognises documents, archival records, and press materials as legitimate and valuable sources of empirical evidence (Yin, 2019). The decision to proceed with secondary data only does not undermine the validity of the analysis, Yin (2019) emphasises that the strength of case study research lies in the triangulation of multiple evidence sources rather than in any single method.

Triangulation: Triangulation was applied at the claim level, each empirical statement in the Case Companies chapter is supported by at least two independent source types where possible. For example, CAKE's pivot toward a dealer network is documented both through the company's own website (dedicated dealer recruitment page) and through independent industry media (Motorcyclenews.com, 2024; GearJunkie, 2024). Lynk&Co's wholesale distribution agreement with Volvo Cars is confirmed through both companies press releases and independent industry reporting (Electrive, 2025). Where only a single source was available for a claim, this is noted and the claim is presented with appropriate hedging. Where sources provided conflicting information, both perspectives are acknowledged rather than one being selectively prioritised.

It should be noted that CAKE filed for bankruptcy in February 2024 and was subsequently acquired by Brages Holding AS in March 2024. The CAKE case is therefore analysed across two phases, the original business model (2018–2024) and the post-acquisition strategic reorientation (2024–present) using data available up to the time of writing.

Limitations: The exclusive reliance on secondary data means that internal organizational reasoning, such as the strategic rationale behind specific decisions, may be underrepresented compared to what primary interviews would have revealed. Additionally, publicly available sources may reflect official company positioning rather than operational realities, introducing the possibility of presentation bias in the empirical material.

6.4. Sample Selection

Four Swedish automotive and mobility firms were selected using purposive sampling: CAKE, Einride, Lynk&Co, and Polestar. Selection criteria were operation within the automotive or mobility sector; use of online retail or digital ordering systems; a distinct business model configuration; and sufficient availability of publicly accessible information to support secondary data analysis.

The companies differ in product type, target market, and revenue structure, enabling analytical variation rather than statistical representativeness (Yin, 2019). Einride's inclusion requires specific justification and delimitation: as a B2B service-based mobility company operating in freight transport rather than consumer automotive retail, it differs fundamentally from the other three cases in terms of customer type, purchasing dynamics, and market context. Consequently, findings drawn from Einride cannot be directly compared with or generalised to the consumer-facing cases. Its inclusion serves a specific analytical purpose ; as a boundary case illustrating what BMI configurations look like when consumer trust barriers are absent ; and conclusions about consumer automotive online retail are drawn exclusively from CAKE, Lynk&Co, and Polestar. Its inclusion is analytically motivated by its status as the most complete example of business model disintermediation in the Swedish automotive and mobility sector,

providing a boundary case that strengthens cross-case comparison by illustrating how BMI configurations differ when B2B purchasing dynamics replace B2C consumer dynamics.

Limitations: The sample excludes traditional incumbents such as Volvo Cars, so findings reflect digitally oriented firms and may not generalise to legacy manufacturers. Furthermore, CAKE's bankruptcy and subsequent relaunch under new ownership means that one case spans two distinct operational phases, which introduces additional complexity in cross-case comparison.

6.5. Data Analysis

Data were analysed following the interactive model of Miles et al. (1994) in three stages: data reduction, data display, and conclusion drawing. The following section describes each stage in detail, including which documents were analysed, how coding was conducted, which codes and themes emerged, and how themes were translated into analytical conclusions.

6.5.1. Stage 1: Data Reduction: Documents, Coding, and Theme Development

Documents analysed: For each of the four case companies, the following publicly available source types were systematically reviewed:

- Company websites — product pages, subscription pages, ordering interfaces, delivery information, and dealer/partner locator pages
- Official press releases and newsroom publications — announcements of new models, distribution partnerships, pricing structures, and strategic pivots
- Annual reports and investor relations documents — revenue structures, sales volume data, market expansion strategies, and financial disclosures
- Executive interviews published in industry and business media — CEO and senior leadership statements on strategy, online retail rationale, and market positioning
- Industry analyses and third-party reports — covering automotive online retail trends, company performance, and market context

Each source type was reviewed in full for content relevant to the three BMI components. Website content was reviewed page by page for product, pricing, and distribution information. Annual reports were reviewed section by section, focusing on business model descriptions, revenue breakdowns, and distribution strategy. Executive interviews were reviewed in full for strategic rationale and observable organisational decisions. All source material was reviewed manually without specialist software.

Deductive codes: Deductive codes were derived directly from the three BMI components and their 4Ps operationalisation. The following codes were applied consistently across all four companies:

Deductive code	BMI component	4Ps indicator	What was coded
VP-online	Value proposition	Product	Digital product configuration, subscription offerings, pre-owned programmes
VP-access	Value proposition	Product	Access-based or service-based offerings vs ownership

DC-dtc	Distribution channels	Place	Direct-to-consumer platform structure and delivery arrangements
DC-dealer	Distribution channels	Place	Presence, absence, or restructuring of dealer/retail partner network
DC-physical	Distribution channels	Place	Role of physical spaces — transactional vs experiential
RM-pricing	Revenue mechanisms	Price	Fixed pricing, transparent pricing, negotiated pricing
RM-recurring	Revenue mechanisms	Price	Subscription fees, service contracts, recurring payment structures
RM-partners	Revenue mechanisms	Price	Financing partnerships, digital payment arrangements

Inductive codes and emerging themes: Alongside deductive coding, close reading of source material across all four companies revealed recurring patterns not fully captured by the predefined BMI categories. These patterns were flagged as inductive codes when they appeared consistently across at least two independent source types for the same company, or across multiple companies. Three inductive themes emerged:

1. **Theme 1: Hybrid distribution convergence:** Across CAKE, Lynk&Co, and Polestar, publicly documented distribution structures showed a pattern of initial DTC-only approaches followed by reintroduction of physical retail presence or dealer partnerships. This was documented through press releases announcing dealer network expansion (CAKE, 2024), wholesale partnership agreements (Lynk&Co — Electrive, 2025), and investor reports describing retail partner expansion (Polestar investor relations, 2024). This theme became the central finding in the distribution channel analysis.

2. **Theme 2: Subscription instability:** Both CAKE and Lynk&Co publicly launched subscription models (CAKE Subscribe 2023; Lynk&Co membership 2020) but subsequently modified or supplemented them with traditional purchase options. Evidence included press releases announcing subscription launches, subsequent announcements reintroducing purchase options, and CEO statements acknowledging commercial limitations of subscription-only approaches (Electric Cars Insurances, 2024; Zagdaily, 2023). This theme informed the revenue mechanism analysis.

3. **Theme 3: Phase-based trajectory:** CAKE's publicly documented bankruptcy (February 2024), acquisition (March 2024), and strategic relaunch under new ownership produced a two-phase analytical pattern not anticipated in the original framework. Evidence included bankruptcy filings, acquisition announcements, and new ownership communications (TechCrunch, 2024; Tech.eu, 2024; CAKE, 2024). This theme informed the cross-case synthesis.

6.5.2. Stage 2: Data Display: Organising Coded Material

Coded material was organised into a structured evidence matrix for each company, mapping coded observations against the three BMI components and their 4Ps indicators. This allowed direct comparison

of how each component was configured across the four cases. The matrix structure ensured that interpretations were traceable to specific source evidence rather than general impressions from reading.

6.5.3. Stage 3: Conclusion Drawing: From Themes to Analytical Conclusions

The translation from themes to analytical conclusions followed explicit comparison criteria defined in advance:

"Incremental vs architectural BMI" was operationalised using a study-specific classification developed by the authors, drawing on the theoretical distinction between incremental and architectural BMI established by Foss and Saebi (2018). This classification was adapted for application to secondary data as follows: a company was classified as making an incremental adaptation if its core value proposition (ownership vs access), distribution channel type (dealer-based vs DTC), and revenue mechanism (transactional vs recurring) remained broadly consistent with traditional automotive retail in at least two of the three components. A company was classified as making an architectural reconfiguration if all three components were simultaneously and substantially changed relative to traditional automotive retail practice. This classification was applied based on publicly documented configurations, not on internal strategic intent.

"Commercial trajectory" was assessed using a study-specific operationalisation developed by the authors, as no established secondary-data methodology for assessing commercial outcomes in BMI research was identified in the literature. It was assessed using publicly available indicators only, specifically: sales volume trends documented in investor reports and press releases, CEO and leadership statements on commercial performance, strategic pivots documented in public announcements, and third-party industry coverage of company performance. Claims about commercial outcomes in the analysis are therefore based on these observable indicators and are presented as tendencies suggested by public evidence rather than definitive judgements.

Cross-case patterns were identified by comparing the evidence matrices across all four companies, looking for consistencies and differences in how BMI components were configured and how publicly documented trajectories developed over time.

6.6. Quality Standards

Construct validity was addressed by aligning the secondary data review directly with BMI components— for example, information about pricing structures operationalises the revenue mechanism dimension, while information about ordering and delivery processes operationalises the distribution channel dimension.

Internal validity was strengthened through source triangulation, each empirical claim is supported by at least two independent sources where possible, reducing reliance on any single company communication. Cross-case comparison further reduces the risk of interpreting company-specific practices as general trends.

External validity is addressed through analytical generalisation, linking findings to established BMI theory (Teece, 2010; Foss & Saebi, 2018).

Reliability was enhanced by applying a consistent coding structure across all four case companies and all source types, following the analytical logic of Miles et al. (1994), ensuring that the same analytical categories are applied uniformly regardless of the source.

6.7. Ethical Considerations

This study relied exclusively on publicly available secondary data. No personal data were collected from individuals, and no interviews were conducted. As a result, issues of informed consent, anonymisation of respondents, and confidential data handling do not apply in the conventional sense.

However, ethical standards were upheld throughout the research process. All sources used are publicly available and are cited transparently in accordance with academic standards. Company-sensitive information drawn from public sources, such as financial disclosures, strategic announcements, and press releases, is presented accurately and in context, without misrepresentation of company positions or selective omission of contradictory evidence. The study adheres to general academic standards for responsible data management and research ethics.

Although the companies examined in this study are named, as is standard practice in case study research, no individuals are identified by name in the thesis. Where company representatives are referenced through publicly available media interviews or press releases, they are referred to by role and company only, ensuring that no individual is directly identifiable through their statements in this thesis.

6.8. Visualization of Methodology

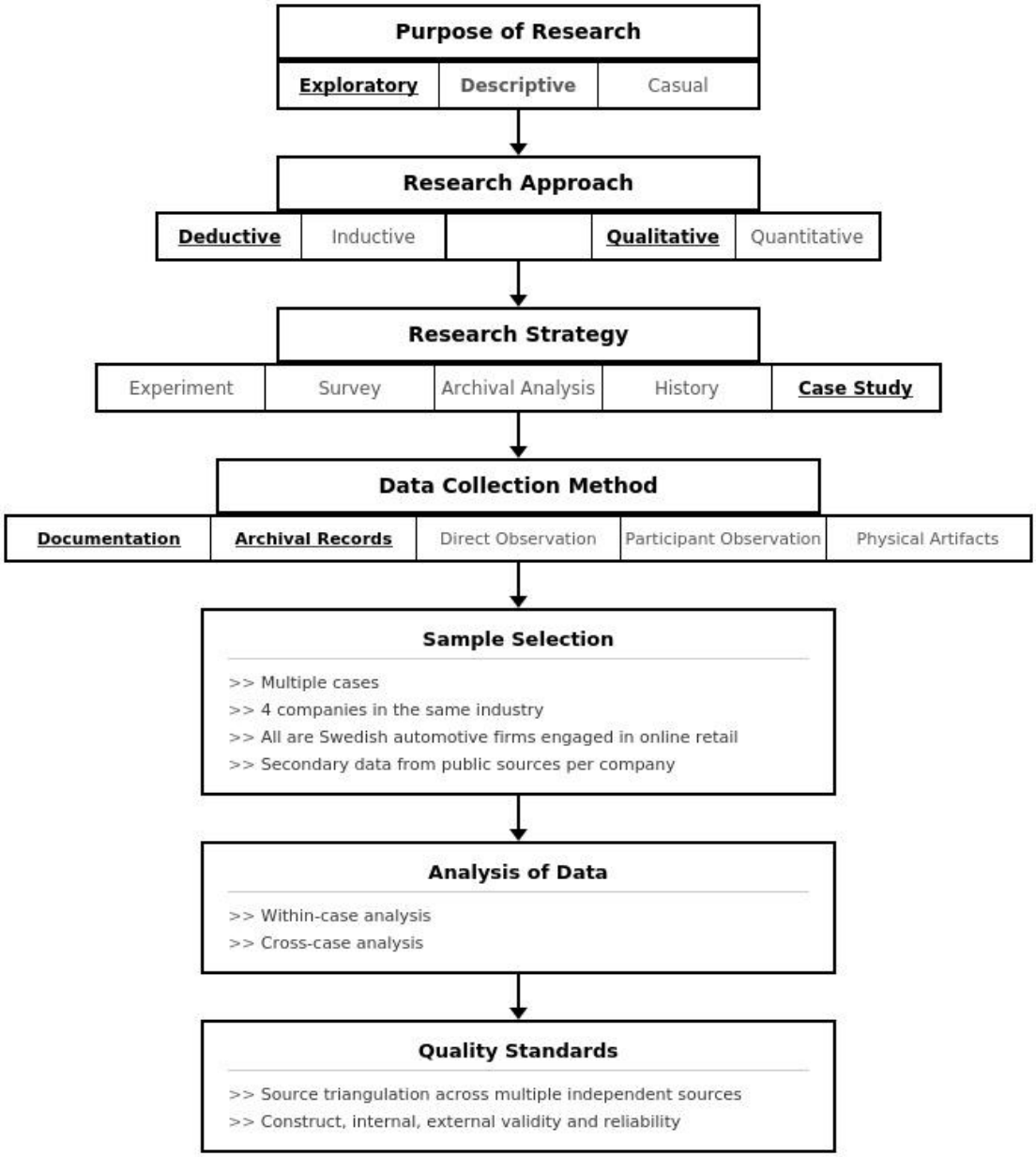


Figure 1: Visualization of Methodology

7. Analysis

7.1 Introduction

This chapter analyses how CAKE, Einride, Lynk&Co, and Polestar have adapted their business model configurations to enable online retail based on publicly available secondary data. The analysis is organised around three BMI components, value proposition, distribution channels, and revenue mechanisms and interprets documented company practices in relation to the theoretical framework before synthesizing cross-case patterns. All analytical claims are grounded in specific sources identified during the coding process described in the Method chapter and are presented as tendencies suggested by publicly available evidence rather than definitive causal findings.

7.2 Value Proposition Adaptation

All four companies show observable differences in how their value propositions are configured for online retail, though the extent and nature of change vary considerably across cases.

Polestar's value proposition represents the most incremental configuration. The company's website documents a full digital purchasing journey (vehicle configuration, financing, and order placement) while retaining a core ownership proposition unchanged from traditional automotive retail (Polestar website, 2024; Polestar investor relations, 2022). What changed is the channel through which ownership is offered, not the nature of what is offered.

CAKE extended its value proposition more substantially. Company press materials document the introduction of CAKE Subscribe in February 2023 (a B2B fleet subscription covering vehicle, maintenance, and warranty at a fixed monthly fee with no upfront deposit) alongside Re:CAKE, a certified pre-owned programme launched in April 2022 (Motorcyclenews.com, 2023; RideApart, 2022). These additions moved the offering beyond one-time ownership toward access-based and circular mobility, though ownership purchase remained the primary consumer offering.

Lynk&Co's documented value proposition represents the most radical consumer-facing configuration. Company membership documentation and press materials confirm that the European launch was structured around a subscription-only model (a fixed monthly fee covering the vehicle with no ownership transfer) explicitly positioning the offering as an alternative to ownership (Lynk&Co Newsroom, 2021; New Atlas, 2020). The publicly documented reintroduction of purchase and leasing options by 2024 (Electric Cars Insurances, 2024) indicates that this configuration was subsequently modified, suggesting the subscription-only proposition did not achieve sufficient commercial reach.

Einride's value proposition is the most fundamentally different from traditional automotive retail. Company website and investor documentation confirm that customers do not purchase or lease vehicles but instead contract transportation outcomes through long-term service agreements, a Freight-Capacity-as-a-Service model in which Einride owns and operates the fleet (Einride website, 2024; BBAE, 2025). This is consistent with what Foss and Saebi (2018) describe as architectural BMI, a change in the fundamental logic of what is offered, rather than incremental adaptation of an existing product.

A pattern observable across all four cases is that online retail is associated with a broadening of value proposition options beyond one-time purchase — toward subscriptions, service access, and circular offerings. This is consistent with Lemon and Verhoef (2016), who demonstrate that digital customer journeys require firms to integrate value across multiple touchpoints. Of the four, Einride's configuration is most fundamentally different from traditional automotive retail, followed by Lynk&Co, CAKE, and Polestar.

7.3 Distribution Channel Adaptation

Publicly documented distribution structures reveal the sharpest observable differences and the most analytically significant convergence across the four cases.

All four companies show documented evidence of initial DTC distribution configurations. Polestar's investor relations materials confirm that vehicles are ordered online and delivered directly, with physical Polestar Spaces functioning as showrooms rather than sales points explicitly separating the experiential function from the transactional function (Polestar investor relations, 2022; Code and Theory, 2022). Einride's website and operational documentation confirm that all customer interaction occurs through digital platforms, with no physical sales presence documented (Einride website, 2024). CAKE's company website and press materials document direct online ordering and delivery across Europe and North America, with brand stores serving an experiential rather than transactional role (The Pack News, 2022; CAKE website, 2024). Lynk&Co's membership documentation confirms that vehicle access was managed through the online platform and physical Clubs served brand engagement rather than sales transactions (Lynk&Co Newsroom, 2021).

From an activity-system perspective (Zott & Amit, 2010), this initial DTC configuration represents a documented shift in which activities previously performed by dealer's customer consultation, transaction processing, delivery coordination, and aftersales management become the responsibility of the manufacturer. The observable evidence of this shift includes the documented presence of direct delivery arrangements, digital customer service interfaces, and online ordering systems in all four companies' publicly available materials. However, the secondary data does not allow direct observation of how these activity transfers were managed internally, only that they occurred, as evidenced by the documented presence or absence of dealer intermediaries in each company's distribution structure.

The most analytically significant pattern is the documented convergence toward physical retail reintroduction among the consumer-facing companies. CAKE's post-bankruptcy relaunch communications explicitly state a pivot toward building a retailer distribution network, supported by a publicly launched dealer recruitment page on the company website (CAKE, 2024). The reason stated in public communications is the need to provide physical product experience to consumers before purchase a barrier that the purely online model could not overcome (Visordown, 2024). Lynk&Co's wholesale distribution agreement with Volvo Cars, announced February 2025 and independently reported in industry media describes expansion to partner-operated sales points across seven European markets, motivated by declining sales volume under the online-only model (Electrive, 2025; Electric Cars Insurances, 2024). Polestar's investor relations materials from 2024 document a deliberate expansion of retail partners Polestar Spaces expanding from 70 to a planned 130 in Europe to increase physical market accessibility and drive volume growth (Polestar investor relations, 2024; Just Auto, 2025).

This convergence is consistent with Kim et al. (2022), who demonstrate that automotive consumers tend to prefer combining digital and physical touchpoints for high-involvement purchases. The activity-system perspective of Zott and Amit (2010) provides a theoretical explanation for why this preference operates as a structural constraint removing dealers transfers a complex activity system to the manufacturer, creating internal capability demands that publicly documented evidence suggests not all firms could sustain independently. Of the four, Polestar's hybrid configuration documented from its market launch shows the most stable publicly recorded trajectory. CAKE and Lynk&Co show the most significant documented distribution pivots. Einride shows no documented physical retail presence, consistent with its B2B freight context in which emotional and experiential purchase dynamics do not apply in the same way.

7.4 Revenue Mechanism Adaptation

Publicly available pricing structures, financial disclosures, and company communications reveal clear differences in how revenue mechanisms are configured across the four cases.

CAKE and Polestar both document a shift to fixed, transparent online pricing a departure from the negotiated pricing typical of traditional dealership models. CAKE's website documented fixed model prices during Phase 1 operations, with digital financing available through FreedomRoad Financial in the US market (CAKE website, 2023). This represents an incremental revenue adaptation, the core transaction logic remains purchase-based, but pricing is restructured for digital transparency, and dealer margin is eliminated. Polestar's investor relations documents confirm fixed online pricing with digital financing arrangements (Polestar investor relations, 2022), and report CO2 credit sales and Polestar Energy home charging services as additional recurring revenue streams emerging from 2025 (Polestar investor relations, 2025; Just Auto, 2025). These documented additions indicate gradual diversification beyond the core transaction, extending revenue into recurring digital service streams alongside the primary purchase model.

Lynk&Co's documented Phase 1 revenue configuration was the most structurally different from traditional automotive revenue logic. Company membership documentation confirms that all European revenue was generated through monthly subscription fees, with no vehicle purchase option at launch (Lynk&Co Newsroom, 2021). This represents a documented attempt to replace transactional revenue entirely with recurring subscription income, capturing value continuously over the customer relationship rather than at a single point of sale. However, CEO statements documented in industry media explicitly acknowledge that subscription pricing at €629 per month was insufficiently competitive and that reintroducing purchase and leasing options was necessary to sustain commercial volume (Electric Cars Insurances, 2024). This is consistent with Kley et al. (2011), who identify trade-offs between pricing transparency and flexibility in DTC models, the fixed subscription price removed negotiation flexibility that different customer segments required.

Einride's revenue configuration is the most structurally distinct from traditional automotive revenue. Investor relations documentation confirms revenue is generated through take-or-pay service contracts averaging 4.5 years in duration with contracted ARR of $65 million reported as of early 2026 alongside SaaS licensing of the Saga AI platform to third-party fleet operators (Einride investor relations, 2025; BBAE, 2025). This is observable evidence of a revenue mechanism entirely structured around contractual recurring income rather than transactional product sales consistent with Teece's (2010) argument that sustainable competitive advantage in digital markets depends on revenue mechanisms that capture value continuously rather than episodically.

Across all four cases, publicly documented revenue configurations show a consistent observable tendency: online retail is associated with a broadening of revenue structures beyond single transactions toward recurring, relationship-based income streams. Of the four, Einride's revenue reconfiguration is the most complete, followed by Lynk&Co's attempted but partially reversed reconfiguration, CAKE's extended but primarily transactional model, and Polestar's incremental diversification alongside a core purchase model.

7.5 Cross-Case Synthesis

The following table summarises the observable BMI configurations across all four companies and the publicly documented trajectory of each, providing the basis for the three cross-case patterns identified below:

Company	**Value proposition config.**	**Distribution channel config.**	**Revenue mechanism config.**	**Documented trajectory**
CAKE	Ownership + subscription + pre-owned (Phase 1); ownership retained (Phase 2)	Full DTC (Phase 1); dealer network introduced (Phase 2)	Fixed online pricing + subscription fees (Phase 1); dealer margin reintroduced (Phase 2)	Bankruptcy Feb 2024; relaunch with dealer pivot Mar 2024
Einride	Service access (FCaaS + SaaS) — no ownership	Fully platform-mediated; no physical presence	Long-term service contracts + SaaS licensing	$65M ARR; NYSE IPO planned 2026
Lynk&Co	Subscription-only (Phase 1); purchase + leasing added (Phase 2)	Online + Clubs (Phase 1); Volvo dealer network (Phase 2)	Subscription fees only (Phase 1); diversified (Phase 2)	Sales decline 2024; strategic pivot to dealer model
Polestar	Ownership purchase — digitised	Hybrid from launch — online order + Polestar Spaces	Fixed online pricing + CO2 credits + energy services	Sales +36% 2025; approaching profitability

Three cross-case patterns emerge from this comparison:

First, all four companies show observable configurations across all three BMI components simultaneously; that is, each company's online retail model involves documented choices about value proposition, distribution channels, and revenue mechanisms at the same time. This does not mean all three components changed to the same degree in every case. Polestar, for example, retained a traditional ownership-based value proposition while adapting its distribution and revenue configurations. The finding is that no company's online retail model involves only one component , all three are present and configured in observable ways, even where some represent incremental rather than radical change.

This is consistent with Pérez-Moure et al. (2024), who find that piecemeal adaptation appears insufficient when the entire sales architecture is in transition.

Second, publicly documented trajectories suggest a tentative pattern in which incremental BMI configurations appear associated with fewer documented strategic reversals than architectural reconfigurations within the timeframe studied. This observation should be treated with significant caution: the four cases differ substantially in size, market segment, customer type, ownership structure, and business context, and commercial outcomes may be influenced by many factors beyond BMI configuration , including macroeconomic conditions, capital availability, and competitive dynamics not captured in secondary sources.

Polestar (whose configuration made the fewest departures from traditional automotive retail) shows documented sales growth and improving financial performance. CAKE and Lynk&Co (whose configurations made more substantial departures) both show documented strategic reversals. This pattern is based on publicly available indicators (sales volumes, CEO statements, strategic announcements) rather than internal financial analysis and should be interpreted as a tendency suggested by the available evidence rather than a definitive finding.

Third, publicly documented distribution structures show convergence toward hybrid models among consumer-facing companies. All three consumer-facing companies show documented evidence of physical retail reintroduction over time, regardless of initial DTC intent. This tendency is not observed in Einride's B2B freight context, where the purchase dynamics are fundamentally different.

7.6 Link to Theory

The publicly observable patterns across the four cases are consistent with and extend existing BMI theory on three counts.

The activity-system perspective (Zott & Amit, 2010) is supported by the documented distribution channel patterns. The shift from dealer-based to DTC structures is associated in all three consumer-facing cases with subsequent publicly documented challenges in sustaining the transferred activity system internally, as evidenced by strategic reversals toward dealer reintegration. The observable evidence CAKE's dealer recruitment page, Lynk&Co's Volvo partnership, Polestar's retail expansion is consistent with the theoretical expectation that removing dealers restructures the activity system rather than merely changing a sales channel. The secondary data does not allow direct observation of how these internal restructuring processes occurred, but the documented outcomes, strategic pivots back toward dealer involvement, are consistent with what the activity-system perspective implies: that removing dealers restructures the entire activity system and creates internal capability demands. This is the authors' interpretation of the framework applied to the observed evidence, rather than an explicit predictive claim made by Zott and Amit (2010) themselves.

The component perspective (Teece, 2010; Foss & Saebi, 2018) is consistent with the observable pattern that all four companies show adaptation across all three BMI components simultaneously. No case shows documented evidence of isolated single-component change value proposition, distribution channel, and revenue mechanism configurations are consistently co-adapted in the publicly available materials.

The incremental versus architectural BMI distinction (Foss & Saebi, 2018) maps onto the cases in terms of publicly documented trajectory patterns, though causal interpretation should be treated cautiously given the secondary data limitations. Polestar's incremental configuration is associated with the most stable documented trajectory. CAKE's and Lynk&Co's more architectural reconfigurations are associated with documented strategic reversals. Einride's architectural reconfiguration is associated with a commercially viable trajectory but in a B2B context where the structural barriers present in consumer automotive retail do not apply. Kim et al.'s (2022) finding on hybrid model preference is extended by the documented distribution pivots of all three consumer-facing companies suggesting this preference operates not merely as a consumer behaviour pattern but as a structural tendency in observable business model configurations.

8. Discussion

8.1 Answering the Research Question

This study examined how Swedish automotive companies structure their business models to enable online retail, based on publicly available secondary data from CAKE, Einride, Lynk&Co, and Polestar. The documented configurations across the four cases suggest that online retail adoption is associated with simultaneous changes across all three BMI components (value proposition, distribution channels, and revenue mechanisms) and that no single configuration appears universally optimal across all market contexts.

The publicly documented evidence across the consumer-facing cases suggests that hybrid distribution models (combining digital transaction channels with physical brand presence) tend to be associated with more stable commercial trajectories than fully disintermediated DTC configurations within the timeframe studied. This is an observational tendency based on publicly available indicators rather than a causal finding and should be interpreted accordingly.

8.2 The Hybrid Model as a Recurring Configuration

The most consistent observable pattern across the consumer-facing cases is the documented convergence toward hybrid distribution, regardless of original strategic intent. Kim et al. (2022) demonstrate that automotive consumers tend to prefer combining online research with physical touchpoints. The documented distribution pivots of CAKE and Lynk&Co are consistent with this finding at the business model level, suggesting that this consumer preference may operate as a structural tendency shaping how distribution configurations evolve over time, rather than merely a consumer behaviour finding.

This pattern appears to extend beyond Sweden. Llopis-Albert et al. (2021) observe that digital transformation in automotive has accelerated DTC adoption, but the documented trajectories in this study suggest that full disintermediation may encounter structural limits in consumer markets, particularly where physical product experience and trust-building remain important to purchasing decisions. This is an interpretive tendency based on four cases rather than a generalisable conclusion, and future research with larger samples would be needed to confirm whether it holds more broadly.

8.3 Incremental vs Architectural BMI — Observed Tendencies

The publicly documented trajectories across the cases show a pattern in which companies with more incremental BMI configurations (those retaining more elements of traditional automotive retail) show fewer documented strategic reversals within the study period. Polestar, whose configuration digitised the purchase process while retaining ownership as the core proposition and hybrid distribution from launch, shows documented sales growth and improving financial indicators. CAKE and Lynk&Co, whose configurations departed more substantially from traditional automotive retail, both show documented strategic pivots, bankruptcy and dealer network reintroduction in CAKE's case, and a wholesale partnership with Volvo in Lynk&Co's case.

This pattern is consistent with Vaska et al. (2021), who find that digital business model transformation tends to be most stable when external market conditions are aligned with the configuration adopted. However, the study cannot establish causality between BMI type and commercial outcome, the documented reversals may reflect factors beyond business model design, including capital constraints, macroeconomic conditions, and competitive dynamics not captured in secondary sources. The

incremental vs architectural distinction should therefore be treated as an analytical lens for describing observed configurations rather than as an explanation for commercial outcomes.

Foss and Saebi (2018) describe architectural BMI as potentially more transformative, this study's evidence does not contradict that view, but suggests that in the consumer automotive context studied, architectural configurations appear to require more time, capital, and market development to stabilise than the study period allows to observe.

8.4 Einride as a Contextual Case

Einride's documented configuration differs fundamentally from the other three cases, replacing vehicle ownership entirely with contracted service access, operating with no physical sales presence, and generating revenue exclusively through long-term service contracts and software licensing. These features are consistent with what Foss and Saebi (2018) describe as architectural BMI.

Einride's B2B freight context makes direct comparison with the consumer-facing cases analytically limited. Professional freight buyers making operationally rational procurement decisions operate under different trust dynamics than consumers purchasing vehicles, the emotional engagement, physical experience, and trust-building requirements that appear to limit full disintermediation in consumer markets are less applicable in this context (Lemon & Verhoef, 2016). Einride's documented commercial trajectory ($65 million contracted ARR and a planned NYSE IPO) does not therefore contradict the hybrid distribution tendency observed in the consumer cases. Rather, it illustrates that the relationship between BMI configuration and commercial viability is shaped significantly by purchasing context.

The theoretical implication is that the degree of BMI reconfiguration that a firm can sustain in online retail appears to be shaped not only by strategic ambition or technological capability, but by the nature of the customer relationship and the purchasing dynamics of the market in which it operates.

8.5 Limitations

The study's primary limitation is its exclusive reliance on secondary data. Internal organisational reasoning (the strategic rationale behind specific BMI decisions, failed internal experiments, and capability development processes) is not visible in publicly available sources. Publicly communicated strategies may reflect official positioning rather than operational realities, introducing a presentation bias that cannot be fully controlled for.

The sample is limited to four digitally oriented Swedish firms. Traditional automotive incumbents (such as Volvo Cars and Scania) are not represented, and the findings may not generalise to legacy manufacturers operating within established dealer networks and different organisational constraints.

CAKE's two-phase trajectory introduces analytical complexity. The Phase 2 relaunch occurred within the study period, and its commercial outcomes remain unresolved at the time of writing. Observations about CAKE's Phase 2 configuration should be treated as indicative rather than conclusive.

Finally, the automotive online retail landscape is evolving rapidly. Observable configurations and documented trajectories reflect the state of the industry up to the time of writing and may shift as market conditions, regulatory frameworks, and consumer behaviours develop.

8.6 Implications

For theory: this study provides observational evidence consistent with the view that hybrid distribution configurations tend to be more stable than fully disintermediated models in consumer automotive online retail, a finding that provides case-based evidence consistent with Kim et al. (2022) at the business model design level, suggesting that the consumer preference for hybrid touchpoints identified in that study may also shape observable business model configurations.

It also provides evidence that the viability of architectural BMI reconfiguration appears to be shaped by purchasing context, specifically by whether B2B or B2C dynamics govern the customer relationship. These are context-specific interpretations based on four cases and should be treated as directions for future theoretical development rather than generalisable conclusions.

For practice: automotive firms planning online retail transitions may benefit from prioritising hybrid distribution models (combining digital transaction channels with physical brand presence) rather than pursuing full disintermediation, particularly in consumer markets. Revenue diversification toward recurring streams alongside established transaction-based revenue appears to be reflected in the documented configurations of Polestar and Einride — though this observation is based on a limited number of cases and should be treated as a tentative direction rather than an established finding.

9. Conclusion

9.1 Answering the Research Question

This study examined how Swedish automotive companies (CAKE, Einride, Lynk&Co, and Polestar) structure their business models to enable online retail, based on publicly available secondary data. The documented configurations across the four cases suggest that online retail adoption is associated with observable configurations across all three BMI components, value proposition, distribution channels, and revenue mechanisms, in all four companies. The degree of change across these components varies considerably: some companies made incremental adaptations while others made more architectural reconfigurations. What is consistent is that all three components are simultaneously present and configured in each company's observable online retail model.

The four cases examined reveal distinct approaches to configuring business models for online retail. CAKE moved from full DTC to a dealer network following bankruptcy and relaunch. Einride operates exclusively through platform-mediated B2B service contracts with no physical presence. Lynk&Co shifted from subscription-only to a diversified model including dealer partnerships. Polestar maintained a hybrid configuration from launch, combining online transactions with physical display spaces. Across these configurations, hybrid distribution models involving both digital and physical elements are the most consistently documented pattern among the consumer-facing cases.

9.2 Contributions

Theoretical contribution: This study offers observational evidence consistent with the view that hybrid distribution configurations tend to be more stable than fully disintermediated models in consumer automotive online retail, extending Kim et al. (2022) from a consumer behaviour finding to a business model design observation. It also suggests that the viability of incremental versus architectural BMI configurations appears to be shaped by purchasing context rather than strategic intent alone, providing a direction for further theoretical development of Foss and Saebi's (2018) framework.

Empirical contribution: The study provides a comparative documentary analysis of online retail business model configurations among four Swedish automotive and mobility firms. By including both consumer and B2B cases, and by analysing CAKE across two operational phases, the study captures a broader range of documented configurations than existing single-case or single-market studies.

Practical contribution: The findings suggest that automotive firms planning online retail transitions may benefit from hybrid distribution models, phased disintermediation strategies, and revenue diversification toward recurring streams alongside established transaction-based revenue, based on the documented trajectories observed across the cases studied.

9.3 Limitations

The exclusive reliance on secondary data means that internal strategic reasoning, capability development processes, and organisational dynamics are not visible in the empirical material. The sample of four digitally oriented firms excludes traditional automotive incumbents, limiting generalisability. CAKE's post-bankruptcy trajectory remains commercially unresolved, and observations about its Phase 2 configuration should be treated as indicative. The rapidly evolving nature of the industry means that documented configurations and trajectories may shift beyond the study period.

9.4 Suggestions for Future Research

Future studies should examine how traditional automotive incumbents adapt their business models for online retail; their experiences may reveal dimensions of BMI adaptation not captured in this study. Longitudinal research tracking the same companies over a longer period would enable assessment of whether hybrid configurations represent a stable endpoint or a transitional phase. Primary interview-based research would strengthen findings by capturing internal strategic reasoning that secondary data cannot access, a mixed-methods approach combining documentary analysis with targeted interviews would be particularly well suited to this research context.

9.5 Final Reflection

The Swedish automotive sector offers a rich context for studying online retail business model adaptation, combining high digital maturity, strong sustainability orientation, and a cluster of firms willing to experiment with significant departures from traditional retail structures. The documented configurations examined in this study suggest that the transition to online retail is not primarily a technological challenge but an organisational one, reflected in how firms arrange their value propositions, distribution structures, and revenue mechanisms in publicly observable ways. The evidence across the four cases suggests that firms whose configurations most thoughtfully balance digital transaction capability with physical trust-building tend to show more stable documented trajectories, though the relationship between configuration and outcome is one this study can observe but not fully explain.

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Appendix A: Questionnaire - Business Model Innovation in Online Automotive Retail (Swedish Automotive Companies)

1. Company Context

- What is your role in the company and how are you involved in online retail activities?
- What products or services does your company sell through online channels in Sweden?
- When did the company begin selling through online channels?
- How important is online retail within your company's overall sales strategy today?

2. Value Proposition (What value is offered online?)

(So that we can identify how the offering itself changed because of online retail)

- What parts of the customer purchase journey can now be completed online (e.g., configuration, ordering, payment, subscription, service booking)?
- Compared to traditional automotive sales, what is different for the customer in your online model? In what ways does the online retail model improve the customer experience compared to traditional dealership-based sales?
- Does the company offer ownership, subscription, access-based use, or service-based solutions? Please describe.
- What customer needs or problems motivated the company to introduce online retail?
- Have any products or services been redesigned specifically for online sales?

3. Distribution Channels (How value is delivered)

(dealership removal = business model change)

- Can you describe the typical customer journey from initial online interaction to vehicle delivery? What role do digital platforms or tools play in enabling this process?
- Are physical dealerships involved? If yes, how has their role changed?
- How are delivery, pickup, or handover handled?
- Does the company operate direct-to-consumer sales? Why was this decision made?
- What operational challenges appeared when removing or reducing traditional dealers?
- How does the company manage customer support without physical interaction?

4. Revenue Mechanism (How the firm earns money)

- Has online retail influenced how revenue is generated over time (e.g., subscriptions, services, recurring payments)?
- Has pricing changed compared to traditional car sales (e.g., fixed price, online payment, transparent pricing)?
- Are there recurring revenue streams connected to online sales?
- Did the introduction of online retail require new partnerships (e.g., financing providers, logistics companies, digital platform providers)?

5. Business Model Adaptation

- Which capabilities of the company had to change internally to enable online retail (organisation, logistics, IT systems, customer service)?
- What was the most difficult adjustment when introducing online retail? How did the company respond to the challenges encountered when implementing online retail?
- Would you describe the change as an improvement of the existing business model or a completely new way of operating? Why?

6. Swedish Market Context

- Did Swedish regulations, consumer behaviour, or infrastructure influence how your online retail model was designed?
- Are there aspects of your model that only work in Sweden? Do Swedish customers have different expectations for online vehicle purchasing compared to other markets?

7. Evaluation and Future Development

- How does the company evaluate the success of its online retail model (e.g., customer adoption, sales performance, etc.)? What lessons has the company learned from implementing online retail so far?
- What elements of the online business model are still being adjusted or experimented with?
- How do you expect your online retail model to change in the next few years?

Appendix B: Sample Coding Table

Source	Source type	Raw observation	Deductive code	Inductive theme
CAKE website (2024)	Company website	"Join as a CAKE Dealer — Step into the future of electric mobility"	DC-dealer	Hybrid distribution convergence
Electric Cars Insurances (2024)	Industry media	CEO states subscription price at €629/month "too high, need to be more aggressive"	RM-recurring	Subscription instability
Electrive (2025)	Industry media	Lynk&Co signs wholesale distribution agreement with Volvo Cars	DC-dealer	Hybrid distribution convergence
Polestar investor relations (2024)	Investor report	Retail partners expanding from 70 to 130 locations in Europe	DC-physical	Hybrid distribution convergence
Einride investor relations (2025)	Investor report	Contracted ARR of $65M; contracts average 4.5 years	RM-recurring	—
CAKE (2024)	Press release	Post-bankruptcy relaunch explicitly pivots to retailer distribution network	DC-dealer	Phase-based trajectory

Appendix C: Source Table

Company	Source Type	Key sources	BMI Dimension
CAKE	Company website	ridecake.com — product, dealer recruitment, subscription pages	VP, DC, RM
CAKE	Press releases	CAKE Subscribe launch (2023), Re:CAKE (2022), post-bankruptcy relaunch (2024)	VP, RM
CAKE	Industry media	Motorcyclenews.com (2023), RideApart (2022, 2024), GearJunkie (2024), TechCrunch (2024), Tech.eu (2024), Visordown (2024)	DC, RM
CAKE	Third-party analysis	Navigator Consulting (2024), CanvasBusinessModel (2025)	DC, RM
Einride	Company website	einride.tech — freight, about, investor pages	VP, DC, RM
Einride	Investor relations	IPO press release (2025), BBAE (2025), Grokipedia (2026)	RM
Einride	Industry media	Crunchbase (2021), Wikipedia (2025)	VP, DC
Lynk&Co	Company website	lynkco.com — membership documentation	VP, DC, RM
Lynk&Co	Press releases	Lynk&Co Newsroom (2021, 2023)	VP, RM
Lynk&Co	Industry media	Electrive (2025), Electric Cars Insurances (2024), DrivingElectric (2020), New Atlas (2020), Circle Economy (2023)	DC, RM
Polestar	Company website	polestar.com — ordering, Spaces, energy service	VP, DC, RM
Polestar	Investor relations	Annual reports and investor releases (2022, 2024, 2025)	DC, RM
Polestar	Industry media	Just Auto (2025), Code and Theory (2022), Business Wire (2025)	DC, RM

VP = Value Proposition · DC = Distribution Channels · RM = Revenue Mechanisms